PAUL F. MILLER, JR.

Paul Miller surprised Wall Street when he decided to leave his high-profile position as CEO of Drexel Harriman Ripley, an investment banking firm, and start one of the first "boutique" money management firms, Miller, Anderson & Sherrerd. That pioneering effort and his phenomenal investment record make him more than worthy of reading. In 1969 they had not one customer and they were asking for a minimum investment of $20 million. Ten years later they had about $1 billion in assets that then mushroomed to $12 billion seven short years later. What amazed him was that so few of his clients ever requested an interview; they made decisions based on Miller's past track record alone, which happened to include a recent streak of amazing gains. A realistic Miller said of himself and other money managers, "You have no remote idea how well they're going to do in the future. You know how many five-year records have been blown apart?"

The success can partly be attributed to the firm's culture; Miller liked to encourage independent and creative thinking without destructive inoffice competition. "I've seen a lot of organizations that are just blown apart by incentive systems that pit one investment manager versus another," he said. As for his style: "When you go back and analyze our successes, so often they were the result of strategic decisions rather than deciding to invest a bundle of money in some hot stock." What makes a great investor? "First of all," Miller said, "many of these people use a valuation model of some kind, so they never tie their judgment on a stock's price to intuition or light bulbs flashing. And they're never frantic—purchases are made for the long term."

Miller ultimately believes in the "perfect-market hypothesis", although he knows the overall market performance can be beaten. As he surveyed Wall Street in the late 1980s, he commented, "In some ways, the old days were better. I really believe that never have so many people made so much money for contributing so little to the world as Wall Street is today." However, in his essay, *The Dangers of Retrospective Myopia,* he questions traditional thought when it comes to predicting stock prices.